

DISSENTING OPINION BY M. NOVACOVITCH.

[*Translation.*]

Being unable to concur in the foregoing judgment, I believe it to be my duty, both towards the Court and my conscience, to set out the reasons which prevent me from so doing.

I.

The case of the Serbian loans is submitted to the Court by a Special Agreement concluded between the Government of the French Republic and the Government of the Kingdom of the Serbs, Croats and Slovenes. What is the dispute thus referred by the two Governments to the Court? A dispute between the Serb-Croat-Slovene Government and the French holders of the Serbian loans, that is, a dispute between a State and private individuals of another nationality. This is clearly stated in the preamble of the Special Agreement: "In view of the fact that a dispute has arisen between the Government of the Kingdom of the Serbs, Croats and Slovenes and French holders....", and again: "The Government of the Kingdom of the Serbs, Croats and Slovenes, paying and considering and the French holders considering....", and this is repeated in Article I: "The Court will be asked for judgment on the following questions: (a) whether, *as held by the Government* of the Kingdom of the Serbs, Croats and Slovenes.... (b) or whether, on the contrary.... *as held by the French bondholders....*" And in No. 3 of Article I we read: "how the value of the gold franc is to be *determined as between the Parties* for the above-mentioned payments". The value of the gold franc is to be fixed as between the Yougoslav Government and the bondholders. By using the expression "the Parties" to cover them both, the Special Agreement reaffirms that they are the Parties to the dispute.

The same idea is found in Article II: "In the event of the Court's award recognizing the justice of the claims of the *bondholders....*" (and not of the French Government). Can the Court deal with a dispute between a State and private individuals?

According to the Court's Statute, the Court can only deal with disputes between States; Article 34 expressly says: "Only States or Members of the League of Nations can be parties in cases before the Court" (and the French text: "*Seuls les États ont qualité pour se présenter devant la Cour*"). Though Article 36 says that the jurisdiction of the Court comprises all cases which the Parties refer to it, this in no way affects Article 34: all cases, certainly, but between States.

No doubt a dispute between States may originate in a controversy between a State and individuals—the injury by a State of the private interests of the nationals of another State. This was the case, for instance, in the case of the S.S. *Wimbledon* (the Court's Judgment No. 1), in that of the Mavrommatis Palestine Concessions (Judgments Nos. 2, 5, and 11), in that of the German interests in Upper Silesia (Judgments Nos. 6, 7, 9, 13). But in the *Wimbledon* case the question at issue was the interpretation and application of Article 380 of the Treaty of Versailles; in the Mavrommatis case it was a question of the application of Protocol No. XII annexed to the Peace Treaty of Lausanne of 1923 and of the Mandate for Palestine entrusted to His Britannic Majesty on July 24th, 1922; the case of the German interests in Upper Silesia concerned the application of the Treaty of Versailles, the German Government maintaining that Poland had contravened it by her legislation. In all these cases, therefore, the dispute related to the application of treaties between States, and what had to be considered was whether there had been a breach of public international law. In relation to this controversy of public law, the original dispute became of secondary importance, and the protection of the interests of individuals only came in question as a consequence of the application of a treaty. The State took up the cause of the individual but only because it contended that there had been a breach of public international law, a breach which affected not only the rights of individuals but also those of the State. And it is this injury to the rights of a State, and not to the rights of an individual, which brought the dispute within the domain of public international law and gave the Court jurisdiction.

The Court has clearly stated in its previous judgments that "by taking up the case of one of its subjects and by resorting to diplomatic action or international judicial proceedings on his behalf, a State is in reality asserting its own right—its right to ensure, in the person of its subjects, respect for the rules of international law". (Judgment No. 2, p. 12.) And again: "... the Court declared itself competent to pass upon the claim for reparation because it regarded reparation as the corollary of the violation of the obligations resulting from an engagement between States. This view of the matter, which is in conformity with the general character of an international tribunal which, in principle, has cognizance only of inter-state relations, is indicated with peculiar force in this case...." (Judgment No. 13, p. 27.)

In the case of the Serbian loans, we have on one side the Serb-Croat-Slovene Government and on the other the French bondholders, who have caused the French Government to represent them, but to represent them only and nothing more. Neither in the Special Agreement, nor in the Cases and Counter-Cases, nor in the oral proceedings, has it ever been contended that the Serb-Croat-Slovene Government has violated an international treaty, or that it has disregarded or violated a rule accepted as forming part of the law of nations. The bondholders have not had recourse to any municipal court, so that there is no question of a denial of justice on the part of the Serb-Croat-Slovene State or of a refusal to comply with the decision of a municipal court, circumstances which would engage the international responsibility of the Serb-Croat-Slovene State. Further, the fact that, as in the present case, there is a difference of opinion as to the interpretation of a private contract between a State and foreign nationals does not suffice to engage the international responsibility of that State (difference of opinion as to interpretation only and not even a question of failure to execute the loan contracts, since the Serb-Croat-Slovene State has continued and still continues to execute them, but according to an interpretation differing from that of the bondholders). This difference of interpretation may injure the private interests of individuals, and these individuals may contend that there has been a breach of the contract and have recourse to the national courts in order to establish the

justice of their claims. But the State whose nationals these individuals are, cannot at this stage be a Party to the case, and since its own rights have not been violated, it cannot assert its own rights. No engagement between France and the Serb-Croat-Slovene State, an engagement the obligations of which are alleged to have been violated, has been cited before the Court. The Serb-Croat-Slovene State therefore has incurred no international responsibility, and it is precisely the absence of such responsibility which makes it impossible to regard the present controversy as a dispute between States.

It has, however, been argued that negotiations have taken place between the French Government and the Serb-Croat-Slovene Government, that these negotiations have failed and that it is this disagreement between the two Governments which is submitted to the Court. But how far is it possible to have regard to these negotiations? No precise statement has been made either as to the extent or substance of these negotiations, and the Special Agreement does not even allude to them. On the contrary, the Special Agreement refers only to the controversy between the Serb-Croat-Slovene State and the bondholders. In these circumstances, it is difficult to take these negotiations into account.

Another difficulty arises from the fact that this is not a dispute between States but a controversy between a State and private individuals. This is the question what rules are to be applied. The Parties have only invoked contracts and laws. But a loan contract or a bearer bond is subject to municipal law, so that only municipal legislation must be applied to them. And yet the Court, whose mission it is to enforce international law and which has been created to apply such law, must apply this law (Article 38 of the Statute). Hitherto it has done so, and though sometimes it may have applied municipal law, this has only been in a subsidiary manner. In the present case it is however obliged to apply municipal law and nothing but municipal law. In regard to national systems of law, the Court has already had occasion to state in previous cases that it could not undertake to pass upon questions of municipal law but must simply take such law and the relevant doctrine as it found it.

It must however be considered that the Court has been made cognizant of this case not by unilateral application but by a Special Agreement. The two States signing the Special Agreement approach the Court as they would an arbitrator and they ask it to decide—as they might ask legal experts—upon a question of the interpretation of contracts in regard to which they disagree. They ask the Court for an opinion—not an advisory opinion—, since such an opinion, under the terms of the Covenant and Article 72 of the Rules of Court, can only be given upon a written request signed by the President of the Assembly or Council or by the Secretary-General of the League of Nations—but an opinion which is to constitute the basis for direct negotiations between the Serb-Croat-Slovene State and the bondholders, or failing agreement, for a second arbitration.

In asking the Court for this opinion, the two States signing the Special Agreement have certainly been actuated by the best intentions, but involuntarily they have placed the Court in a difficult position, because it is bound by the Statute and because according to that instrument it is not, in my opinion, competent to decide the question. The Court may assume the mission of arbitrator, and in so doing it may even depart from a strict application of the rules which it is otherwise bound to apply, since the last paragraph of Article 38 of the Statute authorizes it to give judgment *ex æquo et bono* if the Parties are agreed, but the Parties must have agreed thereto, and this must have been stated in the Special Agreement. Otherwise it is impossible to apply the last paragraph of Article 38. An incompatibility exists between the Statute and the Special Agreement as drafted, and the only way of remedying this incompatibility would have been for the two States signing the Special Agreement to agree to extend the powers of the arbitrator by authorizing him to consider the question in all its aspects and pass judgment upon the whole of it *ex æquo et bono*. Since there has been no such extension of powers, the last paragraph of Article 38 is inapplicable, and the Court cannot undertake the arbitration, its powers being too limited by the Special Agreement.

2.

If we arrive at the conclusion that the Court is not competent, this renders it unnecessary to consider the case on its merits. But being also in disagreement on the merits, I feel called upon to make certain observations which only tend to confirm that it is impossible for the Court to pass upon this case.

Several pages of the judgment are devoted to the question whether the gold clause can be regarded as rendered inoperative by the public policy legislation existing in countries where payments are to be made. And after setting out the opposite views submitted by the Parties in their exposition of the case, the Court states that the doctrine of the French courts is established in this sense, that a distinction is to be made between domestic and international payments, and that in the case of the latter the gold clause is not rendered inoperative by the public policy legislation. The Court cannot pass upon the question whether this doctrine is sound or the reverse, more especially seeing that the reasons on which this doctrine is based are not of a juridical nature, but reasons of national concern, which the Court, being an international body, cannot consider. As stated in the judgment, for the Court itself to undertake its own construction of municipal law would not be in conformity with the task for which it has been established, and would not be compatible with the principles governing the selection of its members. This is certainly out of the question, and the Court should have confined itself to this statement without even entering upon the question as to the position in regard to the doctrine of the French courts, especially seeing that the Special Agreement does not mention the point. But if it left this question aside, the Court would only be able to give an incomplete decision, so that it was confronted with a dilemma: it must either only give an incomplete decision or else enter upon a domain which does not belong to it but to municipal courts. The only way out of this difficult position was to say that it had no jurisdiction.

The questions submitted to the Court should have been dealt with and decided from a concrete standpoint, from the standpoint adopted by the Parties in their Cases, Counter-Cases and oral statements. If this point of view had been adopted, the Serb-Croat-Slovene State on the one side would have been confronted with the French Government and the group of French bondholders on the other. But if this standpoint had been taken, it would have been necessary to have regard to all the objections taken against the French Government and to the group of French bondholders. The Serb-Croat-Slovene Government put forward these objections in its oral exposition of the case, it cited documents with a view to proving that the execution of the contracts for a number of years in succession had been accepted without reservation by the bondholders, notwithstanding that the loan-service was effected in French francs which had already depreciated. The two Parties argued at length in regard to the execution of the contracts, and the Serb-Croat-Slovene Government sought to show, relying more especially on this execution of the contracts, that the intention of the Parties had not been that the contracts should be executed in gold francs but in the French legal currency. It is to be noted that certain arguments invoked by the Serb-Croat-Slovene Government have not been refuted by the other side. The Serb-Croat-Slovene Government has argued, relying on the text of the prospectuses, that the subscriptions to the loans were paid in French francs in France and at the sight rate of exchange on Paris at other places; that Serbia did not receive gold from her creditors, but that the yield of the loans was credited to the Serbian Government in the books of the banks in French francs; that when, as an exception, Serbia asked for actual gold, she had to pay an additional premium to obtain this gold and the operation was entered in the bank books as a sale of gold; that the balance of the 1913 loan was paid by the banks to the Serb-Croat-Slovene State after the war in French francs, although these francs were already well below gold parity; that the French bondholders, until 1925, accepted payment in French francs without any protest or reservation, and that they thus agreed with the Serb-Croat-Slovene Government that there was no question of payment in gold value; that all these facts show

that notwithstanding the gold clause, the Parties had in mind the French franc. And though the other side has argued that this was not the intention of the Parties, it has submitted no proofs refuting all the facts advanced by the Serb-Croat-Slovene Government. Further, adopting this same concrete standpoint, the conclusion should have been reached that the intention of the Parties was to make the execution of the contracts subject to French law and not to Serbian law, since it was at Paris that Serbia made its annual payment, wherever the bondholders might be, and since Paris is the place where payment is to be made and the contract executed. If French law is applied it must be so in its entirety. Lastly, the question should have been considered whether the French Government could take up the case on behalf of the bondholders and claim for them payment at gold value; whether it was established, as contended in the course of the proceedings, that that Government considered itself as validly released from a debt by payment in French francs; and that its courts held French citizens as released from their obligations towards foreign creditors under the same conditions. To clear up all these points further oral proceedings and report by experts ought to have been arranged.

The Court had rejected the concrete side of the question and has only regarded the abstract side, holding that the question concerned bearer bonds, that is to say bonds the holders of which are not personally known. In regard to the obligation based on a bearer bond, the identity of only one person is determined, namely, the debtor. The creditor is anonymous and variable; he may change from one moment to another. This is quite true, but all the consequences following from the conception should be taken into account, and the conclusion should be that the question cannot concern French bondholders, but simply bondholders, of whatever nationality.

If the abstract aspect of the question be alone considered, all the objections based on the execution of the contracts fall to the ground, since the bondholder for the time being is not bound by the acts of preceding holders. But, from another point of view, the result of keeping to the abstract aspect is that, as opposed to the debtor, the Serb-Croat-Slovene State, there is merely an anonymous, impersonal creditor, and in that

case the French bondholders disappear and consequently there is no one for the French State to protect. In these conditions, can the Court deal with the case?

Such are the reasons which have led me to conclude that the Court cannot be competent and which prevent me from concurring in the judgment.

(Signed) M. NOVACOVITCH.